

NATIONAL ECONOMICS UNIVERSITY
EXCELLENT EDUCATION PROGRAM



BACHELOR THESIS

Student: Nguyen Ngoc Linh

Class: Banking 64

Intake: 64

Supervisor: Assoc. Prof. PhD Phung Thanh Quang

Hanoi 2026

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EXCELLENT EDUCATION PROGRAM



Developing individual lending activities at the Vietnam Maritime Commercial Joint Stock Bank (MSB) – Dong Da Branch

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TABLE OF CONTENTS

01

Introduction

02

**Theoretical basis for developing individual
lending activities of commercial banks**

03

**The current situation of individual
customer lending at MSB – Dong Da Branch**

04

**Solutions to develop individual customer
lending at MSB – Dong Da Branch**



01

Introduction

Rationale

- In the economy, individual lending has become increasingly important due to **rising income levels**, changing **consumption patterns**, and growing demand for **personal finance**.

- **Individual lending in commercial banks:**

- Considered a **key growth driver** of retail banking, financial inclusion
- A **strategic segment** for banks to diversify income, expand customer base and enhance competitiveness

- **At MSB – Dong Da Branch:**

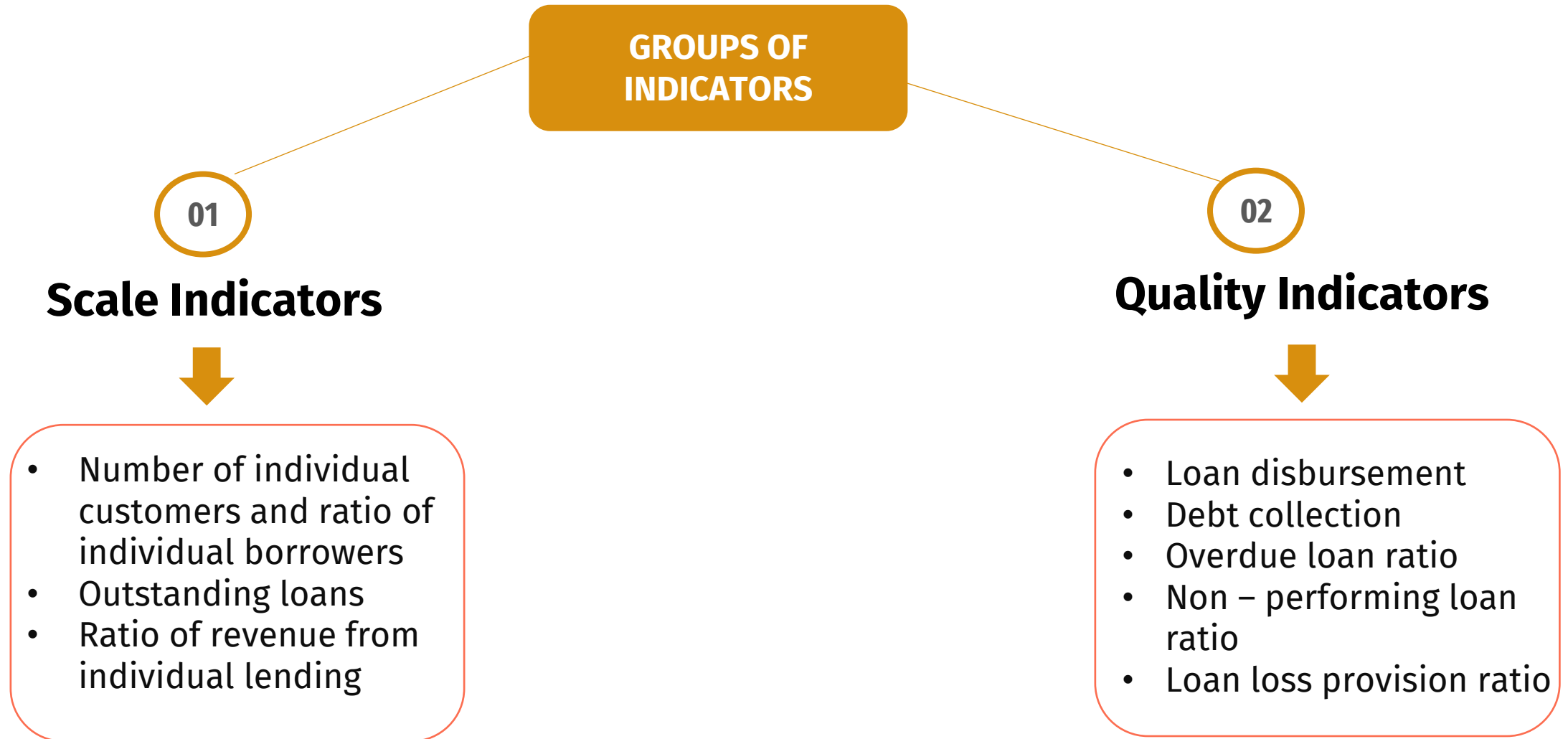
- Branch has actively **expanded individual lending** as part of MSB's retail banking strategy.
- Branch still have some **limitations**.

02 Theoretical basis for developing individual lending activities of commercial banks



- Overview of individual lending activities in commercial banks
- Development of individual customer lending of commercial banks
- ✓ Criteria for evaluating the development of individual lending activities
- ✓ Factors affecting the development of individual lending activities

2.1. Criteria for evaluating the development of individual customer lending of commercial banks



2.2. Factors affecting the development of individual customer lending of commercial banks

Subjective factors

- 01 Credit policy and lending strategy
- 02 Post-loan inspection and monitoring
- 03 Management capacity of bank leadership
- 04 Internal control system
- 05 Banking technology and information system
- 06 Financial capacity and asset structure of the bank

Objective factors

- 01 Legal and regulatory framework
- 02 Customer characteristics and financial literacy
- 03 Competition in the financial market

03

The current situation of individual customer lending at MSB – Dong Da Branch

- Overview of MSB – Dong Da Branch
- The current situation of individual customer lending at MSB – Dong Da Branch
- Assessment of the current situation of individual customer lending of Dong Da Branch



3.1. Overview of MSB – Dong Da Branch

Unit: VND million

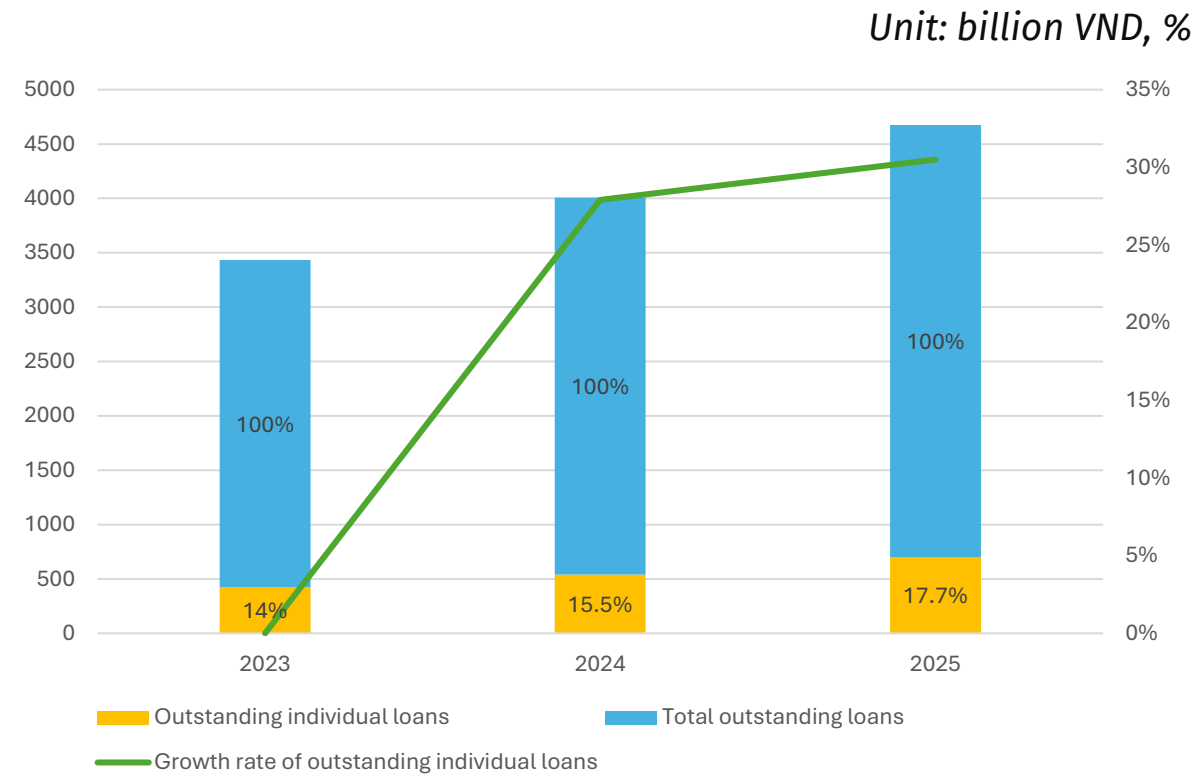
MSB – Dong Da's Branch business performance (2023 - 2025)

Criteria	2023	2024	2025
	Amount	Amount	Amount
Net interest income	305,842	368,915	442,673
Non – interest income	96,418	112,563	132,774
Total income	402,260	481,478	575,477
Operating expenses	228,794	261,307	301,462
Profit before provision	173,466	220,171	273,805
Profit expenses	31,274	35,618	42,105
Profit before tax	142,192	184,553	231,700
Profit after tax	113,754	147,642	185,360

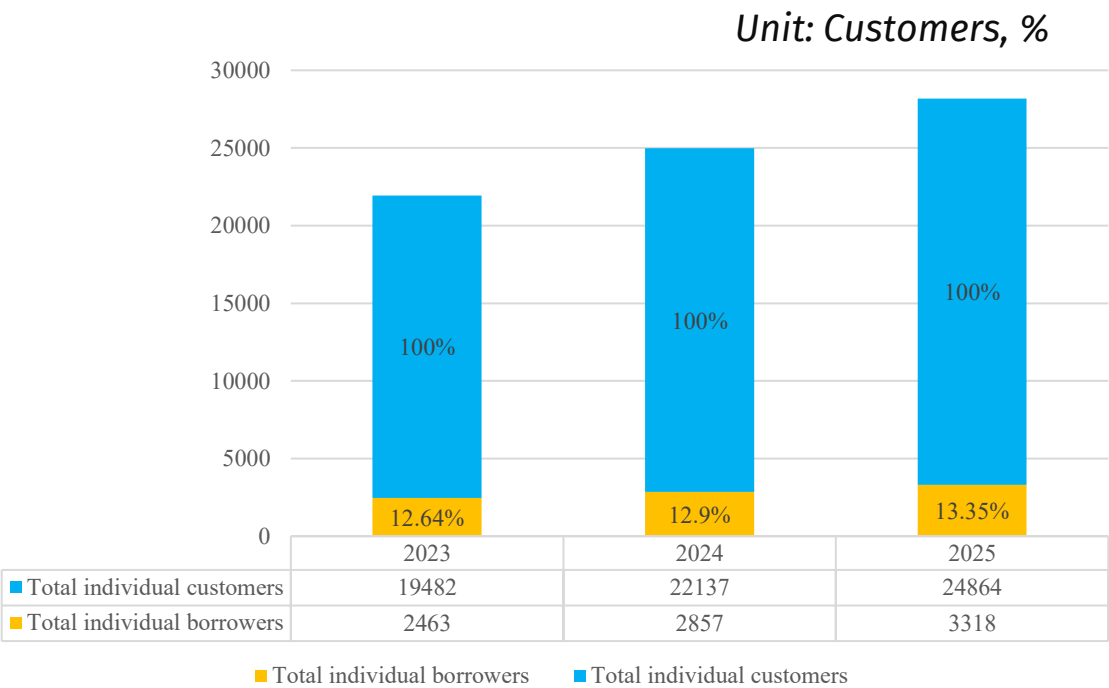
3.2. The current situation of individual customer lending at MSB – Dong Da Branch

(1) Scale indicators

Total outstanding loans and total outstanding individual loans



Total individual customers and individual borrowers



- Reflects **strong retail expansion** through rising customers, borrowers, and credit demand
- Shows effective strategy in **improving service, diversifying products**, and strengthening **competitiveness**

3.2. The current situation of individual customer lending at MSB – Dong Da Branch

Outstanding individual loans based on term

Unit: billions VND, %

Criteria \ Year	2023		2024		2025	
	Amount	Proportion	Amount	Proportion	Amount	Proportion
Short term	108.6	25.8%	129.7	24.1%	159.8	22.7%
Medium – term	232.4	55.1%	305.8	56.7%	401.5	57.1%
Long - term	80.3	19.1%	103.4	19.2%	142.1	20.2%
Total	<u>421.3</u>	<u>100%</u>	<u>538.9</u>	<u>100%</u>	<u>703.4</u>	<u>100%</u>

- The growing demand for consumption and housing finance

→ Strengthen risk management and liquidity planning to ensure the sustainability of retail lending portfolio

3.2. The current situation of individual customer lending at MSB – Dong Da Branch

Outstanding individual loans based on the purpose

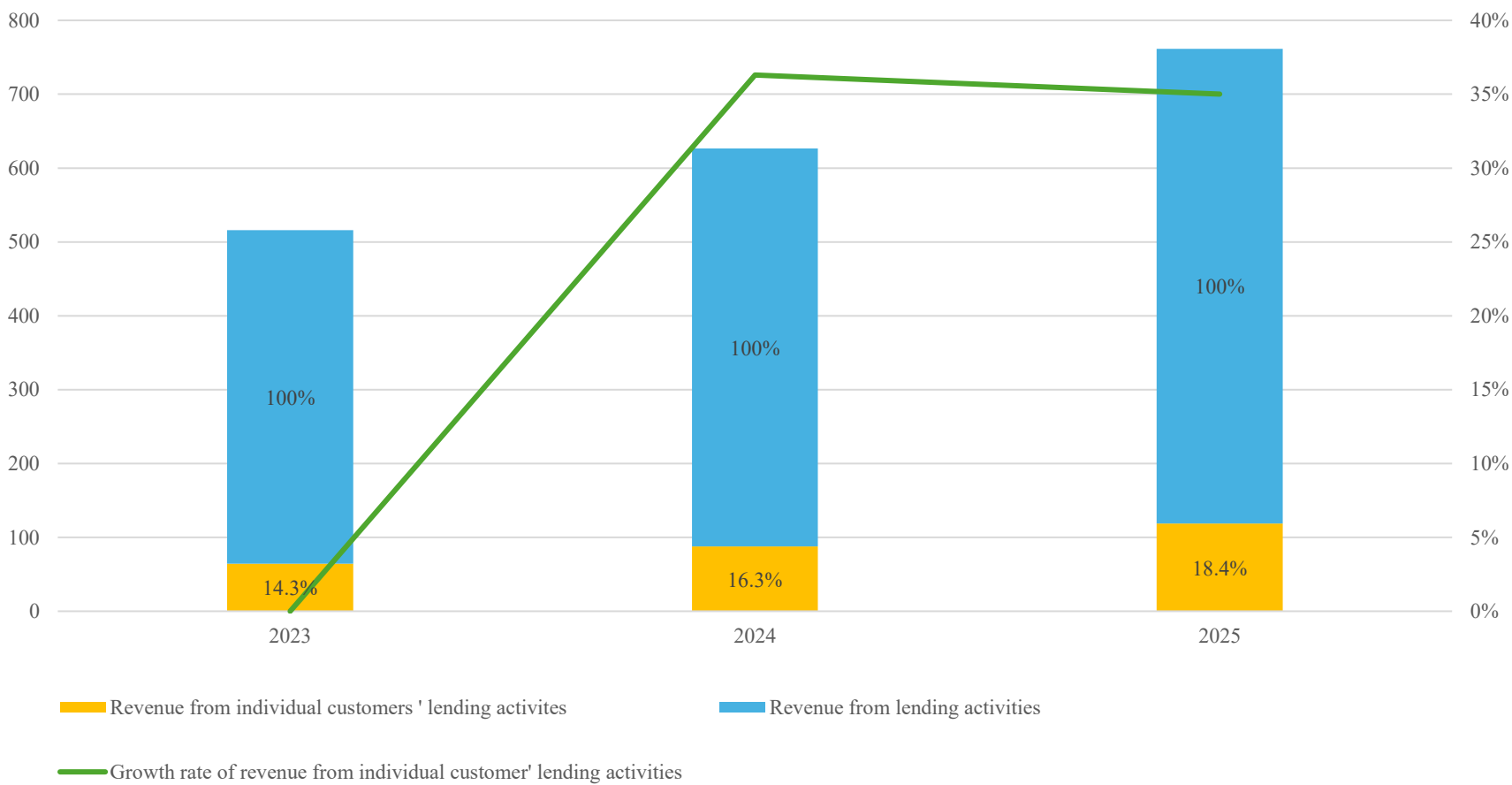
Unit: billions VND, %

Criteria \ Year	2023		2024		2025	
	Amount	Proportion	Amount	Proportion	Amount	Proportion
Production and business	59.8	14.2%	74.5	13.8%	89.6	12.7%
Study Abroad	10.6	2.5%	12.1	2.2%	14.8	2.1%
Securities trading	54.2	12.9%	69.4	12.9%	88.7	12.6%
Buying a car	49.7	11.8%	59.6	11.1%	74.5	10.6%
Buying/ Repairing Houses	176.4	41.9%	246.8	45.8%	334.2	47.5%
Consumption	70.6	16.7%	76.5	14.2%	101.6	14.5%
Total	421.3	100%	538.9	100%	703.4	100%

3.2. The current situation of individual customer lending at MSB – Dong Da Branch

Revenue from individual customers' lending, 2023 – 2025

Unit: billions VND, %



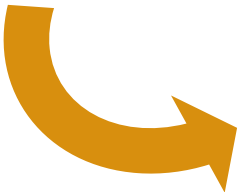
3.2. The current situation of individual customer lending at MSB – Dong Da Branch

(2) Quality indicators

Loan sales and debt collection of individual customers

Unit: Billion VND, %

Criteria \ Year	2023	2024	2025
Loan sales	298.6	398.4	524.8
Debt collection	214.7	280.8	360.3
<u>Outstanding individual loans</u>	<u>421.3</u>	<u>538.9</u>	<u>703.4</u>



- The moderate gap between loan sales and debt collection suggests a **balanced credit cycle**
- Continues strengthening **debt recovery management** and **credit risk control**

3.2. The current situation of individual customer lending at MSB – Dong Da Branch

Overdue loans ratio

Unit: billions VND, %

Criteria \ Year	2023	2024	2025
Overdue individual loans	6.7	9.4	13.2
Outstanding individual loans	421.3	538.9	703.4
Overdue individual loans ratio	1.47%	1.75%	1.87%

- Overdue loan ratio **increased slightly** but remained at a **low level**.
- The need to **strengthen appraisal, monitoring, and debt management**.

Non – performing loans ratio

Unit: billions VND, %

Criteria \ Year	2023	2024	2025
Individual customers' non – performing loans	4.3	6.2	9.5
Outstanding individual loans	421.3	538.9	703.4
Non – performing loans for individual customers ratio	1.02%	1.15%	1.35%

- Shows a **slight upward trend** but remains within **safe limits**
- Ability to **expand lending** while maintaining acceptable credit quality.

3.3. Assessment of the current situation of individual customer lending at MSB – Dong Da Branch

ACHIEVEMENTS

- 1 Stable growth in outstanding individual loans
- 2 Increasing contribution of individual lending to the branch's lending revenue
- 3 Effective credit risk management in individual lending activities
- 4 Relatively safe and balanced lending structure
- 5 Gradual expansion of the individual customer base

LIMITATIONS

- 1 The proportion of individual lending in the overall credit portfolio remains relatively modest
- 2 An imbalance between loan disbursement and debt collection in the individual segment
- 3 Credit risk indicators in the individual lending segment show a gradual upward trend
- 4 The loan structure remains relatively concentrated
- 5 The contribution of individual lending to overall revenue remains relatively limited
- 6 The increasing level of loan loss provisions

3.3. The causes of the limitations

CAUSES

Subjective causes

- 01 **The absence of a branch-specific strategy tailored to the local retail market**
- 02 **Complex and manual lending processes reduce speed and customer accessibility**
- 03 **Strict lending conditions and collateral requirements limit effective customer expansion**
- 04 **Limitations in staff specialization and operational capacity at the branch level**

Objective causes

- 01 **Fluctuations in the economic environment and the financial market**
- 02 **Intense competition in the retail banking market**

04

Solutions to develop individual customer lending at MSB – Dong Da Branch

- Solutions to develop individual customer lending at MSB – Dong Da Branch
- Some recommendations



4.1. Solutions to develop individual customer lending at MSB – Dong Da Branch



Developing a localized strategy

- Implement the **MSB Retail Segmentation Program (RSP 2026)**
- Develop suitable lending products for each customer group.
- Expand retail lending while maintaining risk control.



Streamlining lending processes to improve approval speed

- Launch the **FastTrack Lending Initiative (FTLI)** to reduce approval time.
- Apply **pre-screening** and standardized documentation procedures.
- Improve processing efficiency through **TAT targets**.

4.1. Solutions to develop individual customer lending at MSB – Dong Da Branch



Improving accessibility for informal – income customers

- Implement the **Cash Flow–Based Lending Program (CFLP)** for informal-income borrowers.
- Use transaction history and cash flow for credit assessment.
- Expand credit access while ensuring lending quality.



Enhancing staff specialization and operational capacity

- Strengthen **functional specialization** in lending activities.
- Separate sales, processing, and appraisal responsibilities.
- Conduct **regular training** on appraisal and risk management.

4.1. Solutions to develop individual customer lending at MSB – Dong Da Branch



Strengthening post-lending monitoring and repayment management

- Implement the **Early Warning & Monitoring System (EWMS)** and **Smart Collection & Reminder Program (SCRIP)**.
- Apply risk-based monitoring and repayment reminders
- Detect risks early and reduce overdue loans



Enhancing profitability through cross-selling and customer retention

- Launch the **MSB One Customer Program (OCP)** to strengthen customer relationships.
- Promote **bundled products** such as loans, insurance, and payment services.
- Improve customer retention and retail lending profitability.

4.2. Some recommendations

RECOMMENDATIONS

For MSB

- 01 Operationalizing a consistent retail banking strategy across the system
- 02 Accelerating digital transformation in lending operations
- 03 Expanding green finance into the retail segment
- 04 Enhancing human resource specialization across the system
- 05 Strengthening risk management frameworks in response to rising credit risk

For SBV

- 01 Maintaining stable and flexible monetary policies to support retail lending
- 02 Promoting digital transformation in the banking sector
- 03 Improving the effectiveness of the national credit information system
- 04 Refining credit management regulations to balance risk control and lending growth



THANK YOU FOR LISTENING!